

How I Discovered & Saved **\$10.8M** That Was Being Lost Between Discounts, Fraud, and Frozen Sales

DataCo Global company

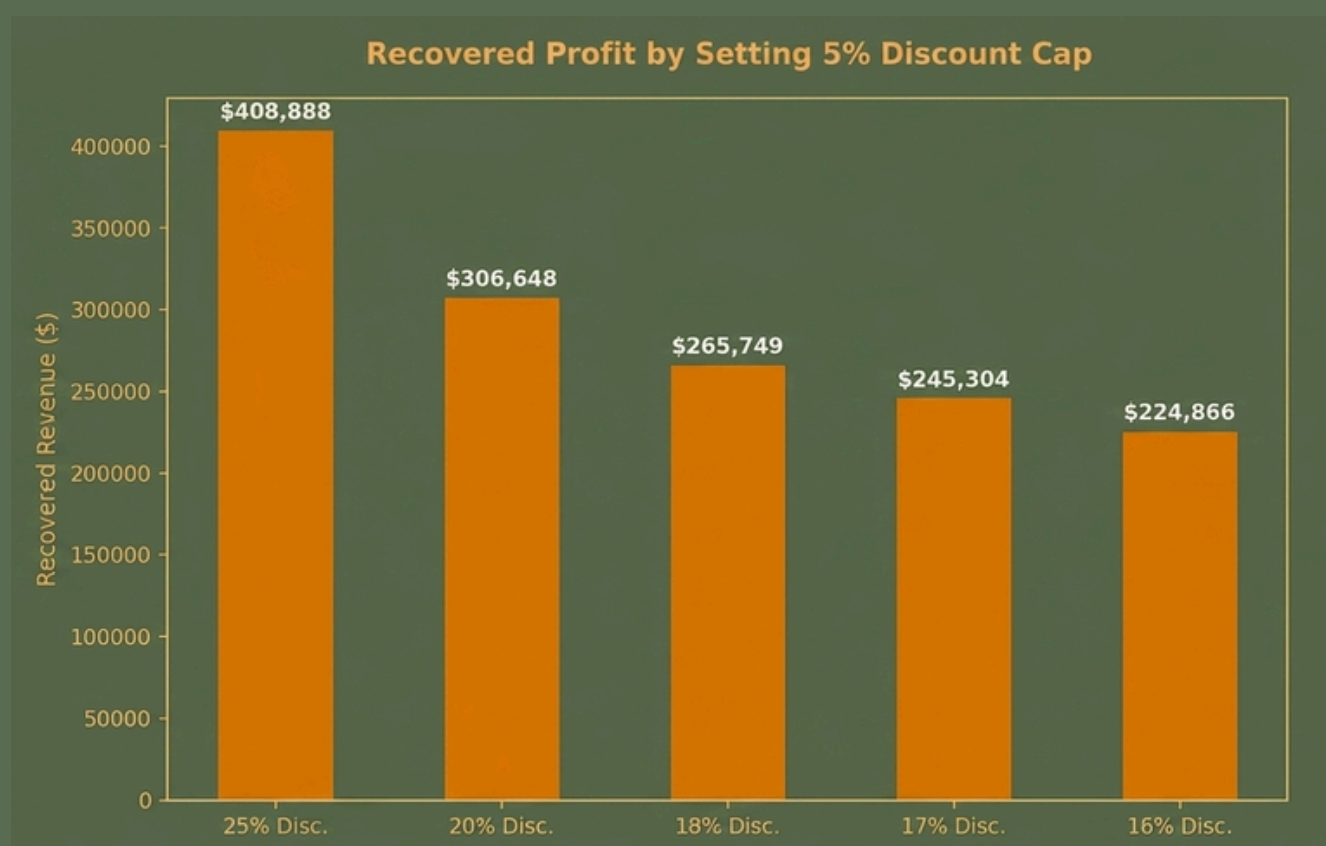


Optimizing the Discount Cap

Analysis confirms constant sales volume (~21.3K units) across all categories, regardless of discount rates (1–25%). Price elasticity is zero: discounts have no impact on purchase volume.

Recommendation: Enforce a 5% discount cap as the baseline standard.

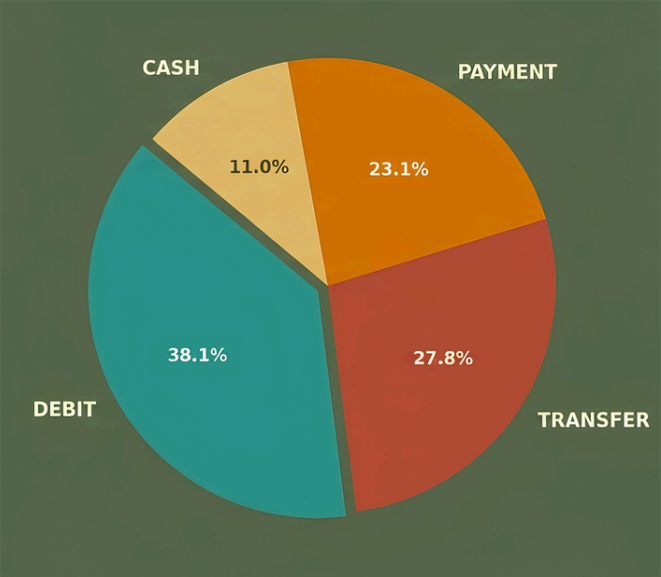
Impact: Recovered savings of \$2,197,525 converted directly to Net Profit — while maintaining the same sales volume.



Operational Action Plan for Payment Channels

CASH channel (11.0%): Stable with **100%** collection rate. Maintained to serve traditional customers.

DEBIT channel (38.1%): The safest and most stable channel with **85.7%** success rate and **zero** fraud issues.

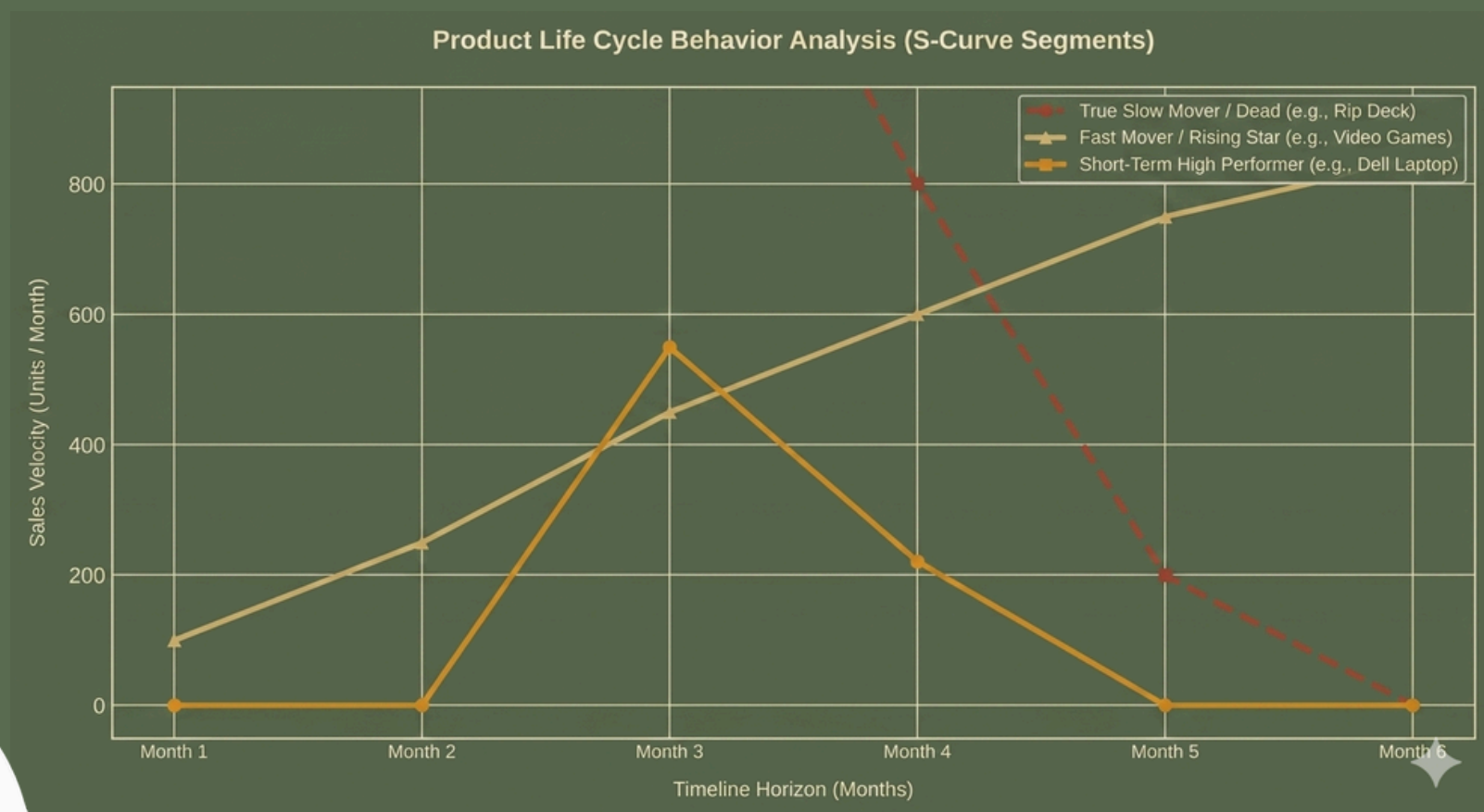


Channel	Current Share	Core Operational Issue	Immediate Action Plan	Financial Impact
PAYMENT	23.10%	95.3% of orders are pending & frozen	Fix payment gateway within 48 hrs or redirect traffic to Debit	Liquidate & recover \$7.2M immediately
TRANSFER	27.80%	8.2% fraud 7.5% cancellations from manual processing 40% orders pending	Automate system & set 2-hr transfer deadline before cancellation	Prevent \$1.4M annual loss
DEBIT	38.10%	Not fully utilized to its potential	Offer incentives (3% discount or free shipping) to raise share to 60%	Save 50% of review & ops team effort



Product Lifecycle Management Strategy

- Stagnant Inventory (e.g., Rip Deck): Historically generated **\$4.4M (73.6K units)**; currently idle for **121 days**, incurring unnecessary storage costs.
- Short-Lifecycle Products (e.g., Laptops/Cameras): High velocity (e.g., **221 units/month** for Dell Laptops), yet rapid market saturation requires specialized operational handling.
- Rising Stars (e.g., Video Games/Smartwatches): Sustained peak momentum (**357–838 units/month**) with **zero** idle days; these are the primary growth drivers.



Executive Action Plan

- **Liquidate Stagnant Inventory:** Immediately halt supply of dead products and initiate clearance campaigns to unlock frozen capital.
- **Capture Rising Demand:** Prioritize inventory for high-momentum products (e.g., smartwatches, video games) to maximize surging market demand.
- **Implement JIT Procurement:** Adopt a Just-In-Time system for short-lifecycle products (e.g., laptops, cameras) to avoid storage costs and protect capital from technology price depreciation.



Final Impact

Financial:

- Recovered savings of **\$2.2M** from optimizing the discount cap.
- Prevented a **\$1.4M** loss from fraud or delay-driven cancellations.
- Liquidated and recovered **\$7.2M** immediately from pending orders.

Performance:

- Saved **50%** of review & operations team effort by increasing DEBIT usage to **60%**.
- Improved storage performance by clearing stagnant inventory and unlocking frozen capital.
- Increased sales and restored stability by focusing on rising-curve products.

Time:

- Accelerated capital turnover by relying on short-lifecycle, fast-moving products.



What do you think is more dangerous to company profits: **burning margins** with random discounts, or **neglecting technical issues** in payment gateways?

